

But philanthropy is a major component of most successful families and successful family offices. It is important for family members. It gives them a unified purpose and builds the family culture. It also helps them focus on properly administering wealth . . . and getting results.

In the *Palm Beach Post*, there are often pictures of photogenic wealthy people attending local fundraising events. Many families enjoy the social component of philanthropy. This is not something that appeals to us. But there may be some causes that would actually do some good . . . as well as making the family feel good about itself.

Our advice: Make it as personal and direct as possible. Control the spending carefully. See the results for yourself. Take responsibility for the outcome. For example, while we have serious doubts about giving money to people for “education” and about education itself, we nevertheless provide scholarships for the children of the people who live on our ranch. We get to know the recipients personally and monitor their progress. And while we have mixed feelings about religion, we still built a wing on the local church so the itinerant priest would have a place to stay. And though we suspect that government-administered health care is inefficient and often ineffective, we also are building a clinic on the ranch—staffed and furnished by the local government—so the families there will have somewhere to go to get medical help.

Notes

1. James Olan Hutcheson, “The End of a 1,400-Year-Old Business,” *BusinessWeek Special Report*, April 16, 2007.